NIKE, Inc. (NYSE: NKE): priced for a partial margin recovery

Equity research memo, portfolio project. Draft, 2026-11-02. Prices as of the 2026-10-30 close. US$; fiscal years end May 31 (FY2026 = year ended May 31, 2026).

Share price	DCF fair value (Base)	Upside	Market cap	Net cash	52-week range	Illustrative view
$38.67	$43–45 (mid $44)	+12% to +17%	$57.4bn	$0.5bn	$33.87–$67.78	Hold, positive bias

Thesis in three points

1. **The debate is margins, not survival.** Revenue is flat at $46.4bn (FY2026, +0.2%), but EBIT margin has fallen from 14.7% in FY2022 to 8.3%. That reflects wholesale resets, heavy discounting to clear inventory, Greater China weakness and tariffs. Nike still has net cash and A+/A2 credit ratings, and paid a $1.63-a-share dividend in FY2026.
2. **The current price implies FY2030E EBIT margin of about 9.5%.** That is well below the FY2022–24 average of 13.2%. Our Base case reaches 11.5% in FY2030E and 12.1% in FY2031E, still below pre-reset levels, and is worth $43–45 per share. Each 1pp of FY2030E margin is worth about $3.4 per share.
3. **Trough multiples understate value; normalized multiples support the price.** On LTM EBITDA, peer multiples imply only $26 a share. Applied to Nike's mid-cycle EBITDA (14.7% margin on LTM revenue), the same peer median implies $37.50. The stock is cheap only if margins recover, and the market has priced in part of that already.

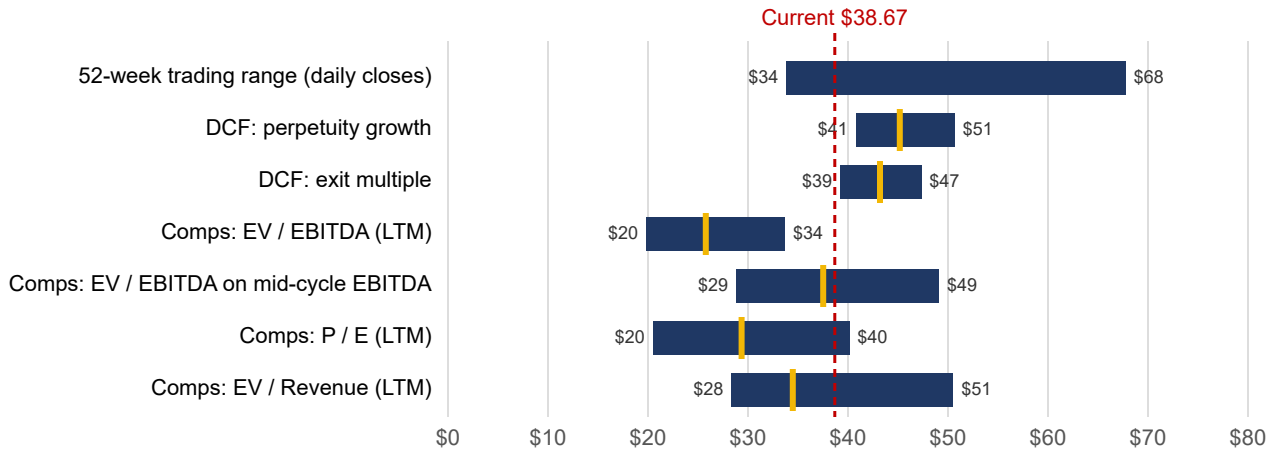
Where Nike stands

- **Top line:** Q1 FY2027 revenue was $11.2bn, down 4.3% year on year. North America wholesale grew 9.0% as partners restocked. NIKE Direct fell (North America −6.0%) as digital moved back to full price. Greater China wholesale fell 27.9%. Converse fell 31% in FY2026.
- **Profitability:** FY2026 gross margin was 42.9%. That includes a $986m IEEPA tariff refund, which roughly offset the tariffs Nike paid. Q1 FY2027 EBIT was flat at $907m.
- **Balance sheet:** at 2026-08-31, cash and short-term investments were $8.4bn and debt $7.9bn. Inventory days are about 103, against 96 in FY2024. Share buybacks have been paused since Q1 FY2026.

Forecast and valuation

Scenario	FY27E revenue	FY27E EBIT margin	FY27E EPS	FY31E revenue	FY31E EBIT margin	FY31E EPS	DCF: perpetuity / exit
Bull	$46.6bn	8.8%	$2.20	$57.2bn	14.0%	$4.89	$56.85 / $53.63
Base	**$45.1bn**	**7.8%**	**$1.89**	**$52.1bn**	**12.1%**	**$3.85**	**$45.18 / $43.20**
Bear	$43.3bn	6.1%	$1.44	$45.0bn	9.6%	$2.58	$31.85 / $30.95

- **Forecast build:** revenue is built from segment and channel (wholesale and direct) growth for each geography. Gross margin is underlying margin less a tariff allowance. Working capital moves to target days by FY2028E: inventory days go from 103 to 98, and receivable days from 41 to 37, excluding the IEEPA receivable.
- **WACC 8.82%:**
  - Cost of equity 9.40% = Rf 4.94% (10-year Treasury) + adjusted beta 1.01 × ERP 4.41% (Damodaran's implied premium). Raw beta is 1.02, from 60 monthly returns against the S&P 500 TR.
  - After-tax cost of debt 4.58% (Treasury + 0.78% A2/A spread, 20% tax).
  - Weights: 88% market equity, 12% book debt.
- **DCF mechanics:**
  - Unlevered FCF, with stock-based compensation treated as a cost.
  - Mid-period discounting from 2026-10-30. The FY2027E stub (58% of the year) is discounted at 0.29 years.
  - The $684m IEEPA refund was collected in Q1, so it is already in the cash balance; it is removed from FY2027E cash flow.
- **Terminal value** is 76–77% of EV under both methods: g = 2.25% or 10.0x FY2031E EBITDA. The methods cross-check: the perpetuity value implies 10.6x EBITDA, and the exit multiple implies 1.9% growth.
- **Comparables** (adidas, PUMA, Lululemon, Deckers, On, Under Armour):
  - Peer medians: 8.2x LTM EV/EBITDA, 14.1x P/E, 1.11x EV/revenue. Nike trades at 12.4x, 18.6x and 1.24x on trough earnings, and at 8.5x mid-cycle EBITDA.
  - PUMA and Under Armour are N/M on EBITDA and P/E.
  - Lease accounting differs (IFRS vs. US GAAP). Each multiple is internally consistent, but the residual difference is not adjusted.



Bars: low-high range; yellow tick: base / median; dashed line: current price. US$ per share

Sensitivities and risks

- **WACC ±0.5pp** moves the perpetuity value to $42.0–$48.9. Terminal growth of 1.75–2.75% gives $42.6–$48.2.
- **Downside (Bear, about $31):** Greater China keeps shrinking, replacement tariffs, and margins stall below 10%.
- **Upside (Bull, about $54–57):** the wholesale and full-price reset works, and gross margin returns to about 46% by FY2031E with mid-single-digit revenue growth.
- **Other risks:**
  - Share loss to newer brands; On grew 14% year to date.
  - Inventory build: Q1 FY2027 inventory was $7.8bn.
  - FX.
  - Sustained discounting if demand stays soft.
- **Catalysts:** Q2 FY2027 results (quarter ending 2026-11-30), with Greater China and gross margin as the swing factors, and the timing of buybacks restarting.

Conclusion

At $38.67 the market assumes only a partial margin recovery. Our Base case assumes margins recover to slightly below pre-reset levels, and gives $43–45, a 12–17% upside. Bear-case downside of about 19% is smaller than Bull-case upside of about 43%. The call rests on one variable, FY2030 margin, which we cannot verify before the next few quarters of gross margin data. That supports a positive bias rather than a high-conviction call.

Sources: Nike 10-K FY2022–FY2026 and 10-Q Q1 FY2027 (SEC EDGAR XBRL); peer filings and IR releases; U.S. Treasury; Damodaran Online; ECB; Yahoo Finance and Nasdaq closing prices. Every input is cited in nike_model.xlsx. Portfolio exercise, not investment advice.